ALPHA TERMINAL FIELD GUIDE

BUILDING A RELATIVE STRENGTH PORTFOLIO TERMINAL

A field guide to finding leadership, controlling overlap and allocating risk where evidence is strongest.



METHOD 03 • LEADERSHIP WITH PORTFOLIO CONTEXT

Rank what is leading, test whether participation confirms it, then ask what the candidate changes inside the whole portfolio.

RESEARCH SYSTEMS • INDIA • 2026

01 • PURPOSE

Turn a watchlist into a portfolio-aware opportunity map

A relative-strength terminal compares sectors, stocks and funds on common horizons, then filters leadership through diversification, liquidity and regime fit.



THE DECISION LOOP

1

Rank

Compare sectors and securities to the same benchmark.

2

Confirm

Demand breadth, persistence and liquidity.

3

Simulate

Measure overlap, beta and concentration impact.

4

Allocate

Use risk budgets, turnover limits and review dates.

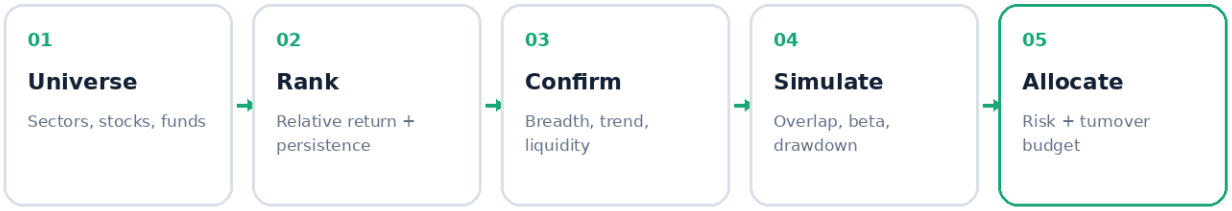
THE PROMISE

One screen should answer: Where is leadership broadening? What exposure do I already own? What does this idea add? What risk must be removed to fund it?

02 • ARCHITECTURE

Build an evidence chain, not a signal pile

A candidate is not attractive in isolation. The engine must see direct holdings, fund look-through and the portfolio's existing factor concentrations.



EVIDENCE STACK

Leadership	20/60/120-session excess return and ranking persistence.	CORE
Participation	Sector breadth, new highs and moving-average confirmation.	CORE
Portfolio map	Direct holdings plus mutual-fund look-through by ISIN.	CORE
Risk map	Beta, correlation, drawdown, liquidity and concentration.	CORE
Fundamentals	Valuation, earnings direction and event confirmation.	SUPPORT

DATA CONTRACT

Compare every candidate on the same as-of date, return window and benchmark. Label holdings coverage; unsupported funds and unclassified securities must not masquerade as diversification.

03 • RESEARCH PLAYBOOKS

Three engines, three independent reasons to care

Leadership can persist, but crowded or duplicated leadership can still reduce portfolio quality.

ENGINE A

Breadth-confirmed sector leadership

Rank sector excess returns, then require a growing share of constituents above trend. Prefer broad leadership to index moves driven by a few names.

EVIDENCE GATES



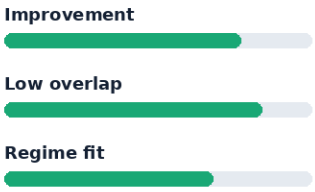
Invalidate when: sector breadth rolls over or excess return breaks its trend.

ENGINE B

Under-owned improving exposure

Find improving sectors with low current portfolio weight and acceptable correlation. The edge is marginal diversification plus improving evidence.

EVIDENCE GATES



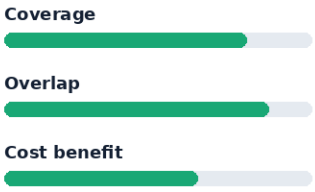
Invalidate when: correlation spikes, regime fit falls or improvement is not confirmed.

ENGINE C

Redundancy removal

Identify funds and direct stocks that repeat the same underlying exposures. Reallocate risk budget only after costs, taxes and role clarity are reviewed.

EVIDENCE GATES



Invalidate when: look-through coverage is incomplete or the duplicate serves a distinct mandate.

04 • DECISION CARD

Make every idea auditable before it becomes actionable

A portfolio-aware research card shows both expected opportunity and marginal portfolio damage.

RESEARCH IDEA • ILLUSTRATIVE

Sector leadership rebalance

Illustrative research card for a portfolio with duplicated large-cap exposure; not a live recommendation.

CANDIDATE

Top-decile 60-session sector RS • breadth improving 3 weeks

CURRENT EXPOSURE

6% direct + 9% look-through; 42% overlaps existing leaders

PORTFOLIO IMPACT

+2% target weight • beta +0.03 • concentration +0.4 pts

RISK BUDGET

Fund by trimming a redundant exposure; turnover cap applies

BENCHMARK

Sector excess return vs NIFTY 50 and matched risk bucket

INVALIDATION

RS rank below median, breadth reversal or portfolio beta breach.

DECISION **SIMULATE • proceed only if marginal diversification stays positive**

THE FIVE GATES

- ✓ **Fresh**
- ✓ **Independent**
- ✓ **Point-in-time**
- ✓ **Sized**
- ✓ **Falsifiable**

NO-GO RULE

Do not add a leader when the portfolio-impact simulation is unavailable, holdings coverage is weak or the trade breaches concentration and liquidity limits.

05 • PROOF

Backtest the decision process, not the story

Rank-based strategies can look excellent before costs and universe bias. Test the complete investable list available on each date.

WALK-FORWARD DESIGN

BUILD	VALIDATE	HOLD OUT
Rules + thresholds	Tune once	No peeking

WHAT THE TEST MUST REPORT

Excess return
Against benchmark and risk bucket.

Rank persistence
How long leadership survives.

Breadth
Share of names confirming the move.

Turnover
Rebalance frequency and cost.

Marginal risk
Beta, correlation and concentration change.

Capacity
Liquidity-adjusted deployable size.

BIAS CHECK

- ! Do not rank today's survivors across historical periods.
- ! Do not compare funds or stocks with mismatched dates and horizons.
- ! Do not treat unknown fund holdings as zero overlap.
- ! Do not ignore taxes, exit loads and market impact in rebalance tests.

PASS CONDITION

Promote a ranking rule only when held-out excess return survives turnover, breadth adds information and portfolio-level drawdown does not worsen beyond budget.

06 • WORKFLOW

Turn research into a repeatable operating cadence

Leadership moves continuously; portfolio roles should change deliberately.

DAILY → WEEKLY → MONTHLY

DAILY

Refresh leadership

Update completed-close ranks, breadth and alerts; do not rebalance on every rank change.

WEEKLY

Run portfolio what-if

Review top candidates, overlap, sector/cap exposure and marginal risk before funding ideas.

MONTHLY

Rebalance by rule

Apply rank, risk and turnover thresholds; record what was added, removed and why.

90-DAY BUILD ROADMAP

DAYS 1–30

Portfolio map

Unified holdings upload, security identity, fund look-through and coverage.

DAYS 31–60

Ranking engine

Common-window returns, breadth, persistence, valuation and regime filters.

DAYS 61–90

Allocator

What-if cards, risk budgets, turnover, attribution and monitoring.

07 • OUTCOMES

Judge the terminal by decision quality, not prediction theatre

The terminal should improve portfolio efficiency, not merely generate more names.

THE SCOREBOARD

HOLDINGS COVERAGE

> 90% value

Unknown exposure stays visible.

EFFECTIVE POSITIONS

Diversified, not counted

Overlap-adjusted breadth.

MARGINAL BETA

Inside risk budget

Every addition simulated.

TURNOVER

Below declared cap

Costs remain realistic.

RANK STABILITY

Multiple horizons

No one-day leadership.

ATTRIBUTION

Position + sector

Know what created excess return.

NON-NEGOTIABLE GUARDRAILS

- ✓ **Use exact security identity and dated fund holdings for look-through.**
- ✓ **Rank on common dates, horizons and benchmarks.**
- ✓ **Treat overlap as evidence, not an automatic sell instruction.**
- ✓ **Show how every candidate changes concentration, beta and drawdown risk.**

SOURCES AND BOUNDARIES

Primary candidates: permitted NSE/NSE Indices histories and classifications; official AMC portfolio disclosures; AMFI identifiers and NAV histories; audited holdings uploads. PG-terminal already has universal holdings analysis, ISIN-normalized overlap, market-cap classification and a regime-fit diversification score.

Research and education only. Alpha is uncertain; losses are possible.